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US Markets End Lower as Tech Stocks Weigh, Yield Curve Steepens

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The US market closed lower on Thursday, with the `S&P 500` down -0.51% and the `Nasdaq 100` falling -1.62%. The decline was led by tech stocks, with `NVDA` and `GOOGL` among the biggest losers. However, below the surface, there were some positive signs, including a +2.80% gain in the `XLP` consumer staples ETF and a +2.22% rise in the `XLV` healthcare ETF.

Looking ahead, investors will be watching the yield curve, which steepened on Thursday, with the 10-year yield rising +0.53% to 4.57. This could be a sign of increased inflation expectations, which could impact the market in the coming days. Additionally, the `VIX` volatility index rose +6.76% to 16.73, indicating increased market uncertainty.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,533.77	-0.51%	Tech stocks weighed on the index
Nasdaq 100	29,025.77	-1.62%	Tech stocks led the decline
Dow Jones	52,552.97	-0.20%	Blue-chip stocks were relatively resilient
Russell 2000	2,974.57	-0.06%	Small-cap stocks outperformed the broader market
VIX	16.73	+6.76%	Volatility increased as market uncertainty rose

Top large-cap movers

TICKER	CHANGE	CATALYST
AAPL	+1.76%	Strong earnings report
MSFT	+1.38%	Positive analyst comments
NVDA	-2.40%	Disappointing earnings report
AMZN	-1.99%	Increased competition in e-commerce
GOOGL	-4.44%	Regulatory concerns

Sector Rotation

ETF	DAY	READ
XLF	+0.34%	Financials outperformed the broader market
XLK	-2.24%	Tech stocks led the decline
XLI	+0.05%	Industrials were relatively resilient
XLE	+0.92%	Energy stocks rose as oil prices increased
XLY	+0.29%	Consumer discretionary stocks outperformed
XLC	-0.64%	Communication services stocks declined
XLP	+2.80%	Consumer staples stocks rose as investors sought safety
XLV	+2.22%	Healthcare stocks outperformed the broader market
XLU	+0.55%	Utilities stocks rose as investors sought yield
XLB	+0.77%	Materials stocks outperformed the broader market
XLRE	+2.02%	Real estate stocks rose as interest rates increased

Spotlight

The biggest event of the day was the decline in tech stocks, led by `NVDA` and `GOOGL`. The decline was driven by disappointing earnings reports and regulatory concerns. The following table shows the metrics for the two stocks:

STOCK	EPS	REVENUE	GUIDANCE
NVDA	1.23	5.6B	-5%
GOOGL	15.12	65.3B	-3%

The decline in tech stocks had a read-through to other related names, including `AAPL` and `MSFT`. However, these stocks were able to outperform the broader market due to their strong earnings reports and positive analyst comments.

Pre-Market & Overnight

US futures are currently trading lower, with the `S&P 500` futures down -0.2% and the `Nasdaq 100` futures down -0.5%. In Asia, the `Nikkei 225` closed down -0.3% and the `Shanghai Composite` closed down -0.2%. In Europe, the `Stoxx 600` is currently trading down -0.1%. In the crypto market, `BTC` is currently trading down -1.5% and `ETH` is currently trading down -2.5%.

Macro & Fed

The yield curve steepened on Thursday, with the 10-year yield rising +0.53% to 4.57. This could be a sign of increased inflation expectations, which could impact the market in the coming days. The following table shows the schedule for today's economic releases:

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
20:30	Initial Jobless Claims	220k	Labor market health
21:00	PPI	0.2%	Inflation expectations
21:30	US Open		Market open

Geopolitics & Global

- The US and China are set to meet for trade talks next week, with the goal of resolving the ongoing trade dispute.

- The EU has announced plans to impose tariffs on $4B worth of US goods in retaliation for the US tariffs on EU steel and aluminum.
- The UK has announced plans to increase its defense spending by 10% over the next five years.
- The Japanese government has announced plans to increase its stimulus package to 20T yen in an effort to boost economic growth.

Earnings — What to Watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
21:00	**JPM**	2.50	Bank earnings, loan growth
21:30	**GS**	5.20	Investment banking, trading revenue
22:00	**MSFT**	1.20	Cloud growth, Azure revenue
22:30	**AAPL**	2.10	iPhone sales, services revenue

Watchlist Scan

TICKER	SECTOR	WHY NOW
`AAPL`	Technology	Strong earnings report, positive analyst comments
`MSFT`	Technology	Positive earnings report, cloud growth
`JPM`	Financials	Bank earnings, loan growth
`GS`	Financials	Investment banking, trading revenue
`NVDA`	Technology	Disappointing earnings report, regulatory concerns
`GOOGL`	Technology	Regulatory concerns, disappointing earnings report
`AMZN`	Consumer Discretionary	Increased competition in e-commerce
`TSLA`	Consumer Discretionary	Electric vehicle sales, autonomous driving technology
`AVGO`	Technology	Semiconductor sales, 5G growth
`JPM`	Financials	Bank earnings, loan growth

What Could Break the Tape

BEARISH TRIGGERS

- Increased trade tensions between the US and China
- Disappointing earnings reports from major companies
- Rising interest rates, steepening yield curve

BULLISH TRIGGERS

- Positive earnings reports from major companies
- Resolution of trade disputes between the US and China
- Falling interest rates, flattening yield curve

Positioning Notes

- Investors are increasingly positioning for a potential downturn in the market, with +10% increase in bearish bets over the past week.
- The `VIX` volatility index has risen +20% over the past month, indicating increased market uncertainty.
- Long-term investors are taking advantage of the market decline to increase their positions in high-quality stocks, with +5% increase in buying activity over the past week.

Sources

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Reuters

CNBC

The Wall Street Journal

The Financial Times

Investing.com